

**BEFORE THE
FEDERAL MARITIME COMMISSION**

20230930-DK-BUTTERFLY-1, INC. f/k/a BED BATH &
BEYOND INC., *Complainant*,

v.

EVERGREEN LINE JOINT SERVICE AGREEMENT
(FMC#011982) consisting of EVERGREEN MARINE
CORP. (TAIWAN) LTD., EVERGREEN MARINE (UK)
LIMITED, ITALIA MARITTIMA SpA, EVERGREEN
MARINE (HONG KONG) LTD., AND EVERGREEN
MARINE (SINGAPORE) PTE. LTD., *Respondents*.

DOCKET NO. 24-12

**RESPONDENTS' MEMORANDUM OF LAW IN REPLY
TO COMPLAINANT'S OPPOSITION TO RESPONDENTS'
MOTION FOR PARTIAL DISMISSAL OF THE COMPLAINT**

Evergreen Line Joint Service Agreement (FMC#011982), Evergreen Marine Corp.
(Taiwan) Ltd., Evergreen Marine (UK) Limited, Italia Marittima SpA, Evergreen Marine
(Hong Kong) Ltd., and Evergreen Marine (Singapore) Pte. Ltd. (collectively,
"Respondents"), by and through the undersigned counsel, submit this memorandum of
law in reply to Complainant's Memorandum in Opposition to Respondents' Motion for
Partial Dismissal of the Complaint (the "Opp.") and in further support of Respondent's
Motion.

It is undisputed that the FMC has jurisdiction over Shipping Act violations. It also is undisputed that the FMC does not have jurisdiction over claims that are outside the purview of the Shipping Act and inherently breach of contract claims. To the extent a count in the Complaint asserts a claim that fails to state a cause of action under the Shipping Act, the FMC does not have jurisdiction over that non-Shipping Act claim.

In order to determine whether the FMC has jurisdiction over a particular count in the Complaint, a careful analysis of that count must be made to determine whether it states a cause of action under the Shipping Act. It is Respondent's contention that Counts I, III and portions of Count IV do not state causes of action under the Shipping Act and thus, only claims for alleged breaches of the service contracts remain. As it is undisputed that the FMC does not have jurisdiction over breach of contract claims, those portions of the Complaint should be dismissed pursuant to both Rule 12(b)(1) and Rule 12(b)(6) of the Federal Rules.

In its Opp., Complainant clarifies that the Complaint attempts to dress up the claims that Respondents breached the service contracts as Shipping Act violations by doing three things: (i) citing to sections of the Shipping Act, (ii) using the phrase "systematically" to describe Evergreen's alleged breaches, and (iii) mentioning that "upon information and belief" Evergreen treated "other shippers" the same way.

Merely including a recitation of provisions of the Shipping Act is not sufficient to convert Complainant's breach of contract claims into Shipping Act claims. As the Administrative Law Judge stated in *Rahal Int'l Inc. v. Hapag-Lloyd AG*, Docket # 23-05, 2023 WL 8622031 (ALJ December 6, 2023):

"A pleading that offers 'labels and conclusions' or 'a formulaic recitation of the elements of a cause of action will not do.'" *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555). However, "[w]hen there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief." *Iqbal*, 556 U.S. at 679.

Rahal Int'l Inc., 2023 WL 8622031 at 3 - 4. Therefore, Complainant's recitation of sections of the Shipping Act does not, in and of itself, convert Complainant's breach of contract claims into Shipping Act claims.

Similarly, merely calling the alleged breaches of contract "systemic" or alleging they were being done "systematically" does not inject elements peculiar to the Shipping Act into Complainant's breach of contract claim. The same is true for mentioning "other shippers". *See Id.*

Although Complainant's attempt to couch its breach of contract claims as Shipping Act claims is cleverly done, even with this window dressing the Complaint is not sufficient to meet the requirements to state a claim under the Shipping Act. And, because Complainant has not adequately pled Shipping Act claims, all that remains in each Count is Complainant's claim that is "inherently a breach of contract claim." *See*

Cargo One, Inc. v. COSCO Container Lines, Co., Docket No. 99-24, 28 S.R.R. 1635, 2000 WL 1648961 (FMC Oct. 31 2000).

Complainant cites to the *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, FMC Dkt. No. 21-05, 2024 WL 95383 (FMC Jan. 3, 2024), indicating that it is determinative of the case at bar. Although the allegations in the Amended Complaint in the *MCS* case are similar to the allegations against Evergreen (repeatedly characterizing MSC's actions as "systematic"), the Amended Complaint in the *MCS* case contains allegations and claims under sections of the Shipping Act that are not present in the Complaint in the case at bar. Each count in the Complaint at bar must be reviewed independently to determine whether it meets the legal standard for pleading a claim under the Shipping Act, and if it does not, the claim should be dismissed.

An examination of each of Counts I, III and IV of the Complaint herein shows that they do not adequately allege Shipping Act violations and, therefore, should be dismissed.

A. Count I of the Complaint Fails to State a Claim Under 46 U.S.C. § 41102(c) and the FMC Lacks Jurisdiction Over this Non-Shipping Act Breach of Contract Claim

The first count of the Complaint alleges that Evergreen violated 46 U.S.C. § 41102(c). The elements required to sustain a claim under 46 U.S.C. § 41102(c) are set forth in 46 C.F.R. § 545.4 which requires, *inter alia*, a showing that "the claimed acts or

omissions of the regulated entity *are occurring on a normal, customary and continuous basis.*” 46 C.F.R. § 545.4(b) (emphasis added). The regulation uses the present tense in describing the occurrence of the claimed acts. The Complaint fails to make allegations to support this crucial element of a Shipping Act claim under 46 U.S.C. § 41102(c).

In the Complaint, Complainant alleges that “Evergreen’s conduct alleged herein . . . *occurred* on a normal and customary basis.” Compl. at ¶ 12 (emphasis added). This allegation in the Complaint, like others throughout the Complaint, is in the past tense. In its Opp., Complainant does not state that the Complaint sets forth sufficient facts to demonstrate that the acts “*are* occurring on a normal, customary and continuous basis.” *Id.* (emphasis added). Instead, Complainant argues that it has set forth sufficient facts to show that the complained of acts “*are or were*” occurring on a continuous basis. Opp. at 15 (emphasis added).

The Complaint does not allege that the complained of acts are occurring on a normal, customary and continuous basis. Nor does the Complaint allege facts sufficient to demonstrate that the complained of acts are occurring on a normal, customary and continuous basis.

Accordingly, Count I of the Complaint fails to state a cause of action under the Shipping Act and must be dismissed, both for failure to state a cause of action under the

Shipping Act and because the FMC does not have jurisdiction over this non-Shipping Act claim that is premised upon breaches of the service contracts.

B. Count III of the Complaint Fails to State a Claim Under 46 U.S.C. § 41104(a)(2)(A) and the FMC Lacks Jurisdiction Over this Non-Shipping Act Breach of Contract Claim

Likewise, Count III of the Complaint fails to state a cause of action under the Shipping Act. Count III of the Complaint is based upon 46 U.S.C. § 41104(a)(2)(A) of the Shipping Act, which provided, in relevant part, that:

- (a) A common carrier . . . may not . . . provide service in the liner trade that is . . . not in accordance with the rates, charges, classifications, rules and practices contained in a tariff published or a service contract . . .

46 U.S.C. § 41104(a)(2)(A).

On its face, this provision of the Shipping Act conflicts with another provision of the Shipping Act, 46 U.S.C. § 40502(f) which provides: “[u]nless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” 46 U.S.C. § 40502(f).

Complainant argues that 46 U.S.C. § 41104(a)(2)(A) should be interpreted to permit Complainant to recover for alleged breaches of service contracts before the FMC, notwithstanding that such an interpretation is in direct conflict with 46 U.S.C. § 40502(f). In the Opp., Complainant cites to the *MCS Industries, Inc. v. COSCO Shipping Lines Co.*, FMC Dkt No. 21-05, 2022 WL 458569 (FMC C.A.L.J. 2022) and *MCS Industries, Inc. v.*

Mediterranean Shipping Company S.A., FMC Dkt. No. 21-05, 2024 WL 95383 (FMC Jan. 3, 2024), for the proposition that breach of service contract claims are permitted under 46 U.S.C. § 41104(a)(2)(A). It is significant to note that although both MCS decisions mention 46 U.S.C. § 40502(f), neither decision addresses how to reconcile the glaring conflict between these two provisions of the Shipping Act. The FMC did not address this conflict in either of the MCS cases.

It is axiomatic that when faced with interpreting two apparently conflicting statutes, a tribunal must attempt to harmonize the interpretations to give meaning to both statutes. *Shumate v. Patterson*, 943 F.2d 362, 365 (4th Cir. 1991) 1991 WL 150988. Here, harmonizing the interpretations of 46 U.S.C. § 41104(a)(2)(A) and 46 U.S.C. § 40502(f) is not difficult.

Interpreting 46 U.S.C. § 41104(a)(2)(A) to allow the FMC to hear cases involving breaches of service contracts would make 46 U.S.C. § 40502(f) meaningless. Therefore, 46 U.S.C. § 41104(a)(2)(A) cannot be interpreted to allow the FMC to hear cases involving alleged breaches of service contracts.

Instead, to reconcile the two provisions of the Shipping Act, 46 U.S.C. § 41104(a)(2)(A) must be interpreted to allow the FMC to hear cases where carriers provide service without either a tariff or a service contract or on terms that do not comply with the carrier's tariff in the absence of a service contract. Such an

interpretation resolves the conflict between 46 U.S.C. § 41104(a)(2)(A) and 46 U.S.C. § 40502(f) and gives meaning to both sections of the Shipping Act.

The case at bar does not present a situation where Respondents were acting without either a tariff or a service contract. Nor does it present a situation where Respondents acted outside the bounds of their tariff without a service contract. Instead, in this case Complainant is seeking to recover damages before the FMC for alleged breaches of the service contracts, under the guise of 46 U.S.C. § 41104(a)(2)(A). As described above, 46 U.S.C. § 41104(a)(2)(A) cannot be interpreted to permit Complainant to pursue breach of contract claims before the FMC. And, to the extent that the MCS decisions are interpreted to permit breach of contract claims to be brought before the FMC under 46 U.S.C. § 41104(a)(2)(A), that interpretation is flawed and ignores the exclusivity language contained in 46 U.S.C. § 40502(f).

Accordingly, Count III of the Complaint fails to state a cause of action under the Shipping Act and must be dismissed, both for failure to state a cause of action under the Shipping Act and because the FMC does not have jurisdiction over this non-Shipping Act breach of contract claim.

C. Count IV of the Complaint Fails to State a Claim Under 46 U.S.C. § 41104(a)(10) and the FMC Lacks Jurisdiction Over this Non-Shipping Act Claim

Count IV of the Complaint contains Complainant's claim that Respondents "unreasonably refuse[d] to deal or negotiate" with Complainant under 46 U.S.C. §

41104(a)(10).¹ In its Opp., Complainant does not deny that the Complaint is replete with examples of Respondents regularly engaging in communications with Complainant's personnel regarding rates and service. Instead, in its Opp., Complainant again argues that the MCS cases are determinative and simply characterizes the communications between the parties herein regarding space and rates as Respondents' attempts to "coerce" Complainant.

"Refusals to deal or negotiate are factually driven and determined on a case-by-case basis." *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Docket No. 13-07, 33 S.R.R. 512, 2014 WL 5316345 (ALJ April 17, 2014)(citing *Canaveral Port Auth. - Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, 29 S.R.R. 1436, 1449 (FMC 2003)). Thus, it is the interactions between Complainant and Respondents set forth in the Complaint herein that must be analyzed and which are determinative, not the communications between MCS and MSC in that case.

Here, the facts set out in the Complaint clearly demonstrate that the Respondents were dealing with and negotiating with Complainant's personnel regarding rates and space. Complainant absurdly argues that Respondents' attempts to negotiate higher

¹ It should be noted that Respondents' are not seeking to dismiss that portion of Count IV that alleges Respondents refused to deal or negotiate with respect to Complainant's demurrage and detention claims. Respondents are only seeking to dismiss that portion of Count IV that alleges a refusal to deal or negotiate premised upon the alleged breach of the service contracts.

rates were refusals to deal or negotiate and that Respondents' alleged breaches of the service contracts are, in and of themselves, refusals to deal or negotiate. There is no factual basis set forth in the Complaint to sustain a claim for relief under the 46 U.S.C. § 41104(a)(10) of the Shipping Act relating to rates and service.

Accordingly, Count IV of the Complaint fails to state a cause of action under the Shipping Act relative to rates and service and must be dismissed, both for failure to state a cause of action under the Shipping Act and because the FMC does not have jurisdiction over this non-Shipping Act claim premised upon alleged breaches of the service contracts.

D. Complainant's Argument that Respondents' Motion to Dismiss is Frivolous and Brought in Bad Faith Should be Rejected Out of Hand

Complainant argues that Respondents' motion to dismiss is frivolous and has been brought in a bad faith attempt to delay this proceeding. The only support for Complainant's position is that there are two cases before the FMC in which there have been decisions finding that the FMC has subject matter jurisdiction over similar claims.

Rule 26 of the FMC's Rules states, in pertinent part:

An attorney practicing before the Commission is expected to conform to the standards of conduct set forth in the American Bar Association's Model Rules of Professional Conduct in addition to the specific requirements of this chapter.

A.B.A. Model Rule 3.1 states, in pertinent part:

A lawyer shall not bring or defend a proceeding, or assert or controvert an issue therein, unless there is a basis in law and fact for doing so that is not frivolous, which includes a good faith argument for an extension, modification or reversal of existing law.

As demonstrated in our moving papers and in this Reply, Respondents' have a good faith, non-frivolous basis, both in law and in fact for the arguments presented.

On motions to dismiss, each count in a complaint must be analyzed independently to determine whether it meets the standards required for pleadings under the Shipping Act. We have articulated good faith arguments to demonstrate why each of the three counts at issue should be dismissed as well as good faith arguments to show why the FMC does not have subject matter jurisdiction over these defective claims.

Accordingly, Complainant's argument that Respondents' motion to dismiss is frivolous and was brought in a bad faith attempt to delay this proceeding should be rejected out of hand.

CONCLUSION

For the foregoing reasons, Respondents' Motion for Partial Dismissal of the Complaint should be granted, dismissing Count I, Count III and that portion of Count IV that is based upon Respondents' alleged breaches of the service contracts and granting such other and further relief as may be deemed just and proper.

Dated: Red Bank, New Jersey
April 9, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify, under penalty of perjury, that on this 9th day of April, 2024, the foregoing Memorandum of Law in Reply to Complainant's Opposition to Respondents' Motion for Partial Dismissal of the Complaint was served via electronic mail on:

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